

# MEMO · D1 Diagnostic and Hypothesis Test

**To:** Meera Krishnan (CEO), Arjun Mehta (CRO), Rohan Bhatt (CFO) **cc:** Sana Qureshi (CMO), Dr Vikram Rao (CPO)

**From:** Revenue Strategy Lead, Office of the CRO **Date:** Week 2, FY27 (April 2026) **Data:** DR1–DR3 as of 31 Mar 2026

*Strata Sense Technologies is a fictional company; all data are synthetic (MBA capstone).*

## 1. The answer in one page

**Strata has two growth problems, and the larger one is not new-logo selling.** Net revenue retention fell from 112% to 99% in one year, which cost ₹35.7 cr of ARR on a ₹272 cr base. ₹25.6 cr of that fall comes from customers whose automation vendor is Helix. New-logo win rate fell from 23.9% to 16.9% over two years (₹17.0 cr a year at FY26 volumes). Half of that fall is who we sell to and how; half is a decline inside comparable deals.

**Verdicts on the six hypotheses.** H1 targeting accepted. H2 value selling accepted, with a smaller effect than assumed. H3 forecast discipline modified: the pipeline is not mostly dead deals, it is mis-categorised and planned against the wrong coverage ratio. H4 competition modified: Helix is structural, TrueSense is preventable. **H5 channel rejected for India** (partner-sourced deals win less than direct ones there) and accepted only for South-East Asia. H0 market shift modified: it is real, but about ₹21 cr a year of the damage is within management control.

**Three largest root causes by ARR at stake (Exhibit 8).** (1) Helix bundling, ₹34.0 cr a year across the base and new deals: **not fixable by sales action alone**; it needs a pricing, packaging or product decision. (2) Expansion stall in non-Helix customers, ₹9.9 cr: needs customer success and account planning, not just sellers. (3) Targeting drift and single-threading, ₹8.0 cr: fixable by sales action. Discount creep adds ₹3.1 cr and buys no wins.

**What this changes.** The revenue reset must cover retention and expansion as well as new logos; the India channel push should wait while SEA goes first; and the forecast needs about 5x coverage, not 3x. Decisions needed are in Section 8.

## 2. CRM audit: what I corrected and what remains unreliable

The raw export overstates FY26 bookings by ₹3.05 cr (7%) and FY26 wins by four, mainly through duplicate records. After cleaning, CRM bookings match DR3 new-logo ARR to ₹0.01 cr in every year, so the bookings base is trustworthy. The win-rate decline survives cleaning (17.6% raw vs 16.9% clean in FY26). Three fields are not trustworthy and I did not use them for conclusions: competitor (filled mostly after a loss), loss reason (28% blank) and lead source (marketing and SDR are merged).

### Exhibit 1. CRM issues, rules applied and effect on headline metrics (1,840 rows → 1,794 clean)

| Issue                                                                                            | Rows affected       | Rule applied                          | Effect on win rate / bookings                                                                               |
|--------------------------------------------------------------------------------------------------|---------------------|---------------------------------------|-------------------------------------------------------------------------------------------------------------|
| Test records                                                                                     | 16                  | Exclude                               | FY24 wins 100 → 98; FY25 79 → 77; bookings –₹0.02 cr                                                        |
| Duplicate opportunities (same account, owner and stage; value within 2%; created ≤10 days apart) | 30 pairs            | Exclude the later copy                | FY26 wins 77 → 73, bookings ₹44.05 → 41.00 cr; FY25 bookings ₹41.51 → 39.00 cr; FY26 win rate 17.6% → 17.0% |
| Near-duplicate kept (OPP-104574 / OPP-104625: different owners, both won, both billed)           | 1 pair              | Keep both                             | Keeping both reconciles FY25 CRM bookings to DR3 exactly                                                    |
| Values entered in rupees, not lakh                                                               | 3 (all Closed Lost) | Divide by 100,000                     | Removes ₹58,309 cr of phantom lost value; no effect on bookings                                             |
| Disqualified deals logged as Closed Lost (never reached stage 2)                                 | 88                  | Relabel Disqualified                  | Naive win rate (won ÷ all closed) FY26 16.1% → 17.0%; qualified win rate unchanged                          |
| Close date earlier than created date                                                             | 4                   | Add one year (all 4 then valid)       | FY26 qualified closed 429 → 432; win rate 17.0% → 16.9%                                                     |
| Won deals missing a mandatory stage (2, 4 or 5)                                                  | 8                   | Flag, keep                            | Stage-conversion rates slightly understated                                                                 |
| Loss reason blank on Closed Lost                                                                 | 27.7%               | Keep as Unknown                       | 37% of FY26 losses cannot be attributed to a rival or no-decision                                           |
| Competitor blank: won 50.6%, lost 29.7%, open 40.0%                                              | —                   | Do not compute win rate by competitor | Field is filled mostly after a loss → rival win rates biased low; use Helix-incumbent account field instead |
| Partner-sourced deals tagged AE self-sourced (partner_role = Sourced)                            | 36                  | Re-tag as partner-sourced             | FY26 partner-sourced share 5.8% → 6.3% of bookings                                                          |
| Lead source blank                                                                                | 8.2%                | Keep as Unknown                       | Marketing vs SDR sourcing not separable in any case                                                         |
| Deals reassigned after owner left                                                                | 155                 | Separate tenure group                 | Rep-tenure analysis excludes them from tenure bands                                                         |
| Open deals stale (close date past, no activity 90 days, or pushed ≥2 times)                      | 17% of open value   | Flag; exclude from clean coverage     | Reported open pipeline ₹124.8 cr overstates workable pipeline by ~₹21 cr                                    |

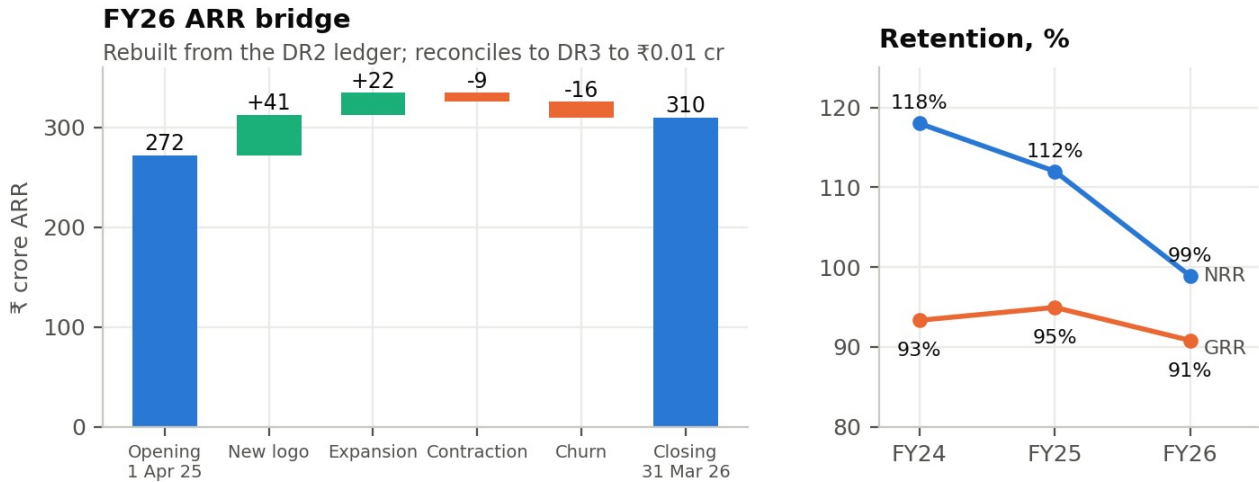
Source: DR1 opportunities and stage history; DR3 pl\_quarterly for the bookings reconciliation. Full log: appendix A1.

**Which findings would change if the CRM is wrong?** The ARR and retention findings come from the billing ledger, not the CRM, so they stand. The win-rate trend is robust to every cleaning step. The findings most exposed to bad data are competitor win rates (biased low), partner share (depends on tagging) and the business-case effect (p = 0.06). I treat those as directional.

### 3. ARR bridge and retention

FY26 ended at ₹310 cr: ₹272 cr opening, +₹41 cr new logo, +₹22 cr expansion, -₹9 cr contraction and -₹16 cr churn. Gross retention fell to 91% and net retention to 99%, down from 118% in FY24. Expansion halved: the top 30 accounts expanded by ₹21.3 cr in FY25 but only ₹9.5 cr in FY26. Churn more than doubled, from ₹6.5 cr to ₹16.0 cr.

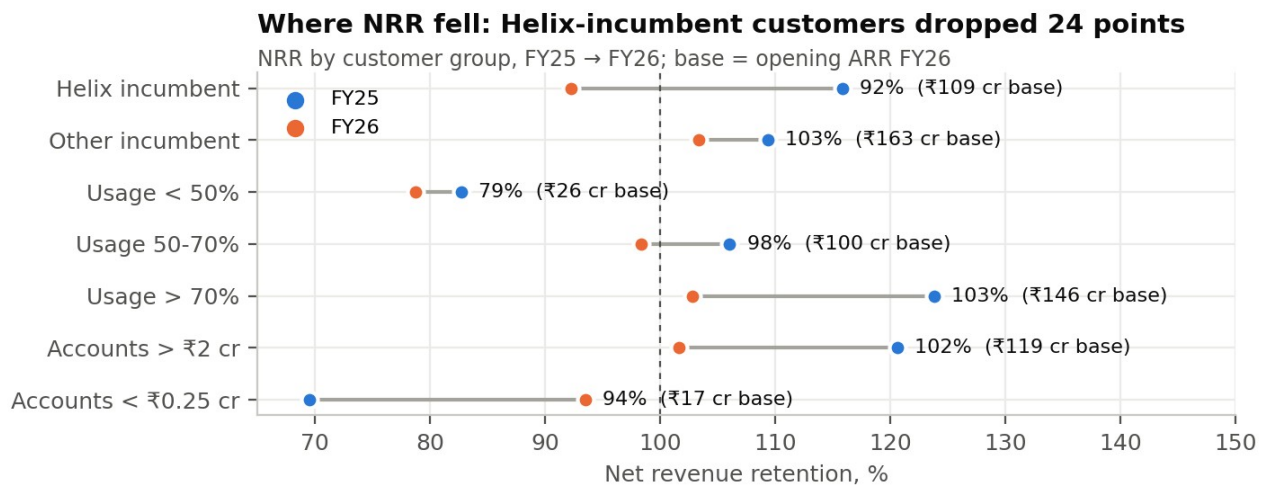
#### Exhibit 2. FY26 ARR bridge and retention trend



Source: DR2 arr\_movements (ledger) and customers; reconciles to DR3 closing ARR.

The decline is concentrated (Exhibit 3). Customers whose automation vendor is Helix hold 40% of the base, and their NRR fell from 116% to 92%. The rest of the base fell only from 109% to 103%. Low usage is the clearest churn signal: customers using under half their licensed assets retained 79% of ARR and lost one logo in five. Large accounts (> ₹2 cr) are still above 100%, but their expansion is slowing.

#### Exhibit 3. NRR by customer group, FY25 vs FY26



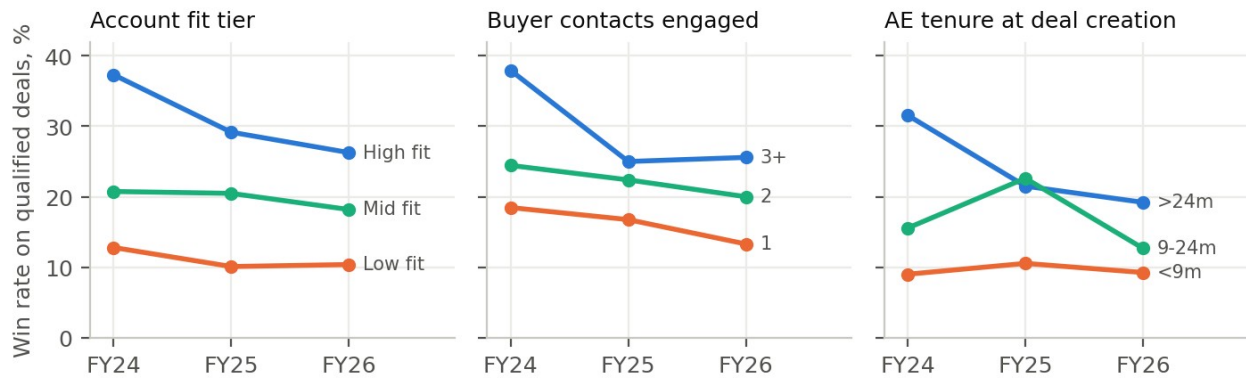
Source: DR2 customers and arr\_movements. Usage = assets reporting in the last 90 days ÷ assets licensed. Appendix A2b has cohorts and segments.

### 4. Where the funnel breaks

**Win rate.** Win rate on qualified deals fell from 23.9% (FY24) to 19.7% (FY25) and 16.9% (FY26). The drop is steepest late in the funnel: proposal-to-negotiation conversion fell from 64% to 54%. Three cuts separate winners from losers most clearly (Exhibit 4). I scored account fit using firmographics only; the score predicts FY26 outcomes it was not trained on (AUC 0.65). High-fit accounts win 26% of the time and low-fit accounts 10%, yet low-fit accounts grew from 32% to 45% of qualified deals. Deals with three or more buyer contacts win twice as often as single-threaded deals (odds ratio 2.2), and single-threaded deals grew from 57% to 63%. AEs in their first nine months win 9–10% (odds ratio 0.33).

#### Exhibit 4. Win rate by account fit, buyer contacts and AE tenure

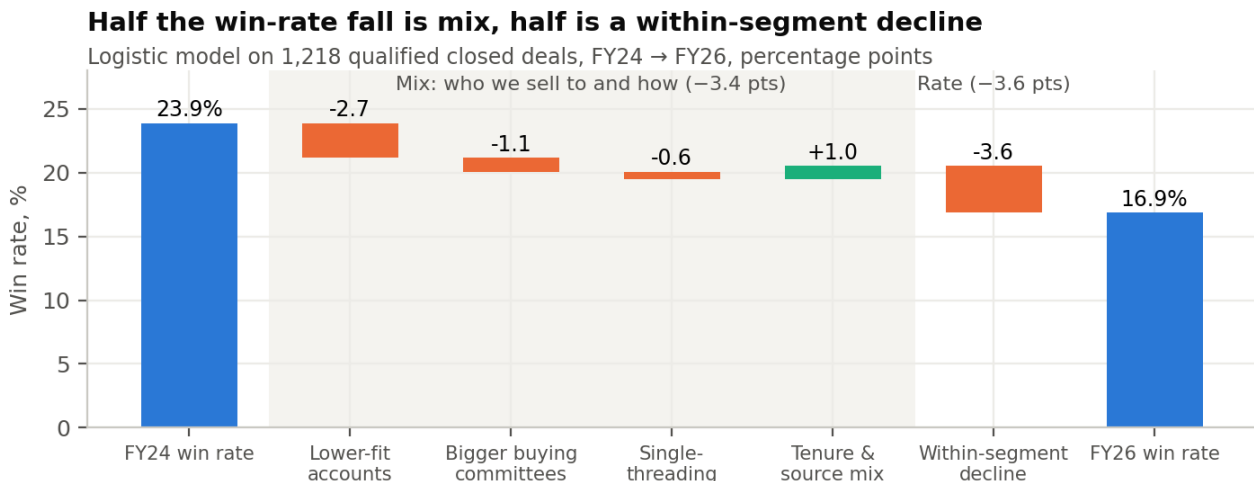
##### Win rate by account fit, threading and rep tenure



Source: DR1 clean; DR2 firmographics; DR3 ae\_roster for tenure. Qualified = reached 2-Solution Design. Reassigned deals are excluded from tenure bands.

**Mix versus rate.** A logistic model on 1,218 qualified deals lets me separate who we sell to from how well we sell (Exhibit 5). Mix explains 3.4 points of the 7.0-point fall: lower-fit accounts (-2.7), bigger buying committees (-1.1) and single-threading (-0.6), partly offset by fewer brand-new reps and a better lead-source mix in FY26 (+1.0). The other 3.6 points is a decline inside comparable deals. That is consistent with Helix bundling and cheaper rivals, which the CRM cannot measure reliably.

#### Exhibit 5. Decomposition of the FY24 → FY26 win-rate fall



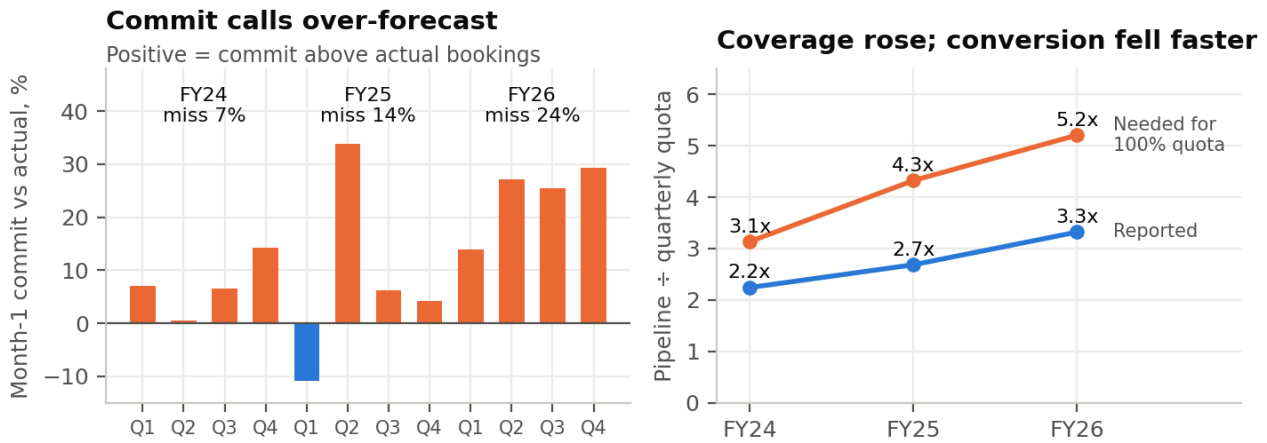
Model:  $\text{logit}(\text{win})$  on fit score, contacts, tenure, committee, proof of value, lead source and year. Appendix A4.

**Cycle, discount and capacity.** The won-deal cycle lengthened from 6.2 to 8.0 months. Of the 1.8 months, 0.8 comes from the rising share of deals where finance, procurement or IT security join the buying committee (35% → 64% of wins). The other 1.1 months comes from every group getting slower. Discount on won deals rose from 13.0% to 19.1%. After controls, a higher discount is not linked to a higher chance of winning (odds ratio 0.98 per point,  $p = 0.41$ ), so the extra discount is margin given away. Capacity is thinner than the quota plan assumes. An AE books nothing in the first six months, ₹0.29 cr a year in months 6–12, ₹0.59 cr in months 12–24 and ₹0.89 cr after two years, against a ₹1.1 cr quota and a management assumption of six-month ramp. AE attrition reached 29% in FY26, and 17 of today's 64 AEs joined in the last 12 months.

## 5. Forecast and pipeline

Reported coverage rose from 2.2x to 3.3x quota while the share of in-quarter pipeline that closed fell from 32% to 19%. To hit quota at FY26 conversion, coverage would need to be 5.2x. The Commit category converted 48% in-quarter in FY24 but only 27% in FY26, and month-1 commit calls over-forecast in every FY26 quarter (average miss 24%). Only 17% of open pipeline value is stale, so the problem is optimistic categorisation and a planning rule built for a higher win rate, not a pipeline full of dead deals.

## Exhibit 6. Commit accuracy and coverage



Source: DR1 forecast\_history and pipeline\_snapshots (12 quarter-start snapshots). Needed coverage =  $1 \div \text{in-quarter conversion of reported pipeline}$ .

## 6. Hypothesis verdicts

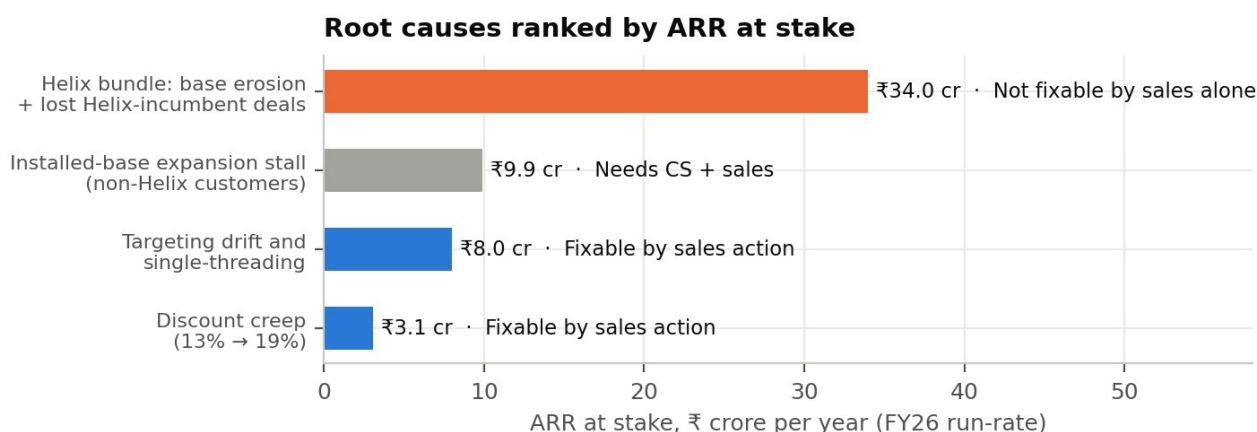
### Exhibit 7. Verdict on each hypothesis, with the evidence that decides it

| Hypothesis             | Verdict                              | Evidence                                                                                                                                                                                                                                                                                                                                                                                                                            | What it changes                                                                                                                   |
|------------------------|--------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------|
| H1 Targeting           | Accepted                             | Fit score (firmographics only) predicts wins out of time: AUC 0.65 on FY26. High-fit win rate 26% vs low-fit 10% (FY26). Low-fit share of qualified deals rose 32% → 45%. Low-fit accounts are 50% of the 3,100 targets but take 61% of AE touches. Fit mix explains -2.7 of the -7.0 pt win-rate fall.                                                                                                                             | Tier the 3,100 accounts; stop-list for low-fit; capacity goes to high-fit (D2).                                                   |
| H2 Value selling       | Accepted, smaller than assumed       | FY26 proposals with a quantified business case win 41% vs 32% without (odds ratio 1.5 after controls, $p = 0.06$ ). They carry 4.5 pts less discount and close 0.6 months faster. Business-case use fell 63% → 48% of proposals. Discount shows no positive link to winning (odds ratio 0.98 per pt, $p = 0.41$ ).                                                                                                                  | Business case mandatory at proposal; discount only in exchange for scope/term (D3, D5).                                           |
| H3 Forecast discipline | Modified                             | Only 17% of open value is stale, so the pipeline is not mainly dead deals. The failure is categorisation and the planning rule: Commit converted 27% in-quarter in FY26 vs 48% in FY24; reported coverage 3.3x vs 5.2x needed; month-1 commit over-called in every FY26 quarter (average miss 24%).                                                                                                                                 | Stage-exit criteria, Commit definition, plan to 5x+ coverage (D4).                                                                |
| H4 Competition         | Modified: split by rival             | Helix is structural where Helix is incumbent: win rate in those accounts fell 20% → 7%; strong selling (business case + multi-threaded) won 0 of 11 such proposals against Helix; Helix-incumbent customers' NRR fell 116% → 92%. TrueSense is preventable: strong selling lifts proposal win rate 13% → 31%; 44% of TrueSense losses cite reuse of existing sensors. BMI losses cluster in < ₹500 cr accounts (a targeting issue). | Helix needs a pricing/packaging decision, not better scripts; TrueSense needs battlecards + sensor-agnostic question to CPO (D5). |
| H5 Channel             | Rejected for India; accepted for SEA | SEA partner-sourced deals win 34% vs 10% direct. India partner-sourced deals win 12% vs 22% direct (7% where Helix is incumbent); Middle East shows no advantage (17% vs 22%). Partner-sourced share of bookings fell 12% → 6% (after re-tagging 36 deals). Three partners (P11, P09, P05) source 44 of 62 FY26 partner-sourced deals.                                                                                              | Channel plan starts SEA-first; an India-wide 25% partner target is not supported (D6).                                            |
| H0 Market shift (null) | Modified                             | Real but partial: bigger buying committees explain 0.8 of the 1.8-month cycle rise; the within-segment win rate fell 3.6 pts after controls. But the largest driver (Helix bundling) is addressable through pricing and retention, and ~₹21 cr/yr (targeting, discounting, non-Helix expansion) sits within management control.                                                                                                     | Do not narrow the FY29 target yet; decide after capacity math (D2, D7).                                                           |

A plan that accepted all six would miss the two decisive facts: channel does not work in India today, and the Helix problem is not a sales-skills problem.

## 7. Root causes ranked by ARR at stake

Exhibit 8. Root causes ranked by ARR at stake (₹ crore a year, FY26 run-rate)



Sizing method: the change in rate between years, applied to FY26 volumes. Win-rate change × 432 FY26 qualified deals × ₹0.56 cr average deal; NRR change × FY26 opening ARR. The Helix new-logo figure overlaps the within-segment decline in Exhibit 5, so the rows should not be summed with it. Of the four causes, only targeting, threading and discount are within the sales team's own control. Helix bundling needs a pricing or packaging answer from the CEO and CPO. The expansion stall needs customer-success capacity (nine CSMs for 412 customers today) alongside account planning.

## 8. Decisions I need before D2

### CEO

1. Confirm the reset covers retention and expansion of the installed base, not only new-logo selling. About two-thirds of the ARR at stake sits in the base.
2. Ask the CPO and CRO for Helix response options (a Helix-incumbent package or price, and the timing of a sensor-agnostic tier) in time for D5.

### CRO

3. Approve account tiering with an explicit stop-list for low-fit accounts, and reassign the 99 target accounts still owned by departed AEs.
4. Make competitor (at stage 2), loss reason (at close) and business case (at proposal) mandatory fields, and redefine Commit as stage 5 with a confirmed close plan.
5. Adopt about 5x coverage and a two-year ramp as planning assumptions, replacing 3x and six months.

### CFO

6. Agree that cleaned CRM bookings, which equal DR3 new-logo ARR, are the single source for bookings.
7. Fix two definitions before D6/D7. CAC payback today counts expansion ARR in the denominator. Partner margin is booked in sales and marketing, not cost of revenue, so the 66% gross-margin guardrail currently excludes it.

## 9. Limits of this evidence

- Competitor presence is recorded mostly after a loss, so I cannot measure win rates against each rival directly. I used the Helix-incumbent account field instead.
- The fit score is modest (AUC 0.65). It ranks accounts well enough to tier them, not to predict single deals.
- Installed-asset counts are market estimates; usage is a single 90-day snapshot.
- The assumption I am least sure of: that the 3.6-point within-segment decline is mostly Helix bundling and cheaper rivals. If it is actually a sales-skills decline, targeting fixes alone will not restore win rate.
- **Primary evidence:** interview codes (INT-01 to INT-08) will be added against each verdict, and any interview claim that contradicts the data will be explained here. [To be completed from the interview log; no interview evidence is used above.]